

Individual Retirement Accounts

Individual retirement accounts (IRAs) have evolved in the more than twenty years since they were established and now include such variations as SEP IRAs, Roth IRAs, SIMPLE IRAs, and more. IRAs provide the same tax-deferred benefits as 401(k) and similar employer-sponsored plans and allow you to decide how your funds will be invested.

If you have employment income in any year, you can make contributions to an IRA. The annual limit was \$5,000 in 2012, and you're allowed to make an additional contribution (of \$1,000 in 2012) once you reach age fifty. You can set up an IRA through most banks and financial institutions, or through a mutual fund company or broker. You can start making withdrawals at age fifty-nine and a half, and, unless it is a Roth IRA, you must start doing so by age seventy and a half. As with 401(k) plans, income tax and a 10 percent penalty apply to any funds you take out early unless you qualify for a waiver of the penalty (for very high medical expenses, disability, death, higher education, as a first time home buyer up to \$10,000 or to pay health insurance premiums if unemployed for more than twelve months).

Contributing to an IRA doesn't make sense unless you're maximizing the match that you can receive from your employer in your 401(k) plan. After that, you can decide where you prefer to contribute additional dollars each month. Take into account the costs, investment selection, and control over the money as you make this decision. If you don't have access to an employer-sponsored plan, then by all means, invest as much as possible in IRAs.



Take advantage of every opportunity to plan for retirement. You'll want to know as soon as possible whether or not you're on track to retire in